

STANDALONE HEALTH

Health insurance is the fastest-growing segment in India. In fact, the country now has over half-a-dozen standalone health insurers. They are projected to grow 21% in FY26 compared to general insurers' 13% growth, says Lockton India. "Their focused approach allows for better product innovation, deeper distribution networks, and more agile claim and wellness management," says Dedia. According to Agarwal, standalone health is seen as a high-growth specialised segment. "While some standalone health insurers have accumulated losses, the market is now viewing them with greater optimism due to strong premium growth and focus on retail health. Investors are willing to bet on their ability to capture a larger share of the fast-growing market," he says.

VALUATION PUZZLE

Market experts say life insurance players, particularly those with a strong bancassurance model and consistent growth in protection and non-par products, continue to command premium valuations owing to their long-term profitability and predictable cash flows. In both general and health insurance segments, valuations have been more modest relative to life insurance due to underwriting challenges, regulatory pricing, and lower return ratios. "Non-life is perceived as a high-growth, low-margin business. Investor sentiment is influenced by the motor and health business," says Agarwal.

But the scenario is shifting with rising awareness, deeper digital penetration, and IRDAI's push for insurance inclusion. "Investors are beginning to appreciate the potential for long-term value creation in these segments as well," says Dedia.

NEW-AGE TECH INSURERS

While legacy players have high costs due to old IT systems, aging workforce, and manual processes, the new-age players are adopting technology extensively with a focus on innovative products, transparency, and speed of transactions. "This direct-to-consumer model bypasses traditional intermediaries, lowering acquisition costs and allowing for more competitive pricing. They are also adept at using data analytics and artificial intelligence to offer personalised products and more accurate risk assessment, which can lead to better underwriting performance and reduced claim ratios," says Agarwal of PL Capital.

GoDigit has shown significant growth in a short span and is ranked 402. Its business model, heavily reliant on technology and digital distribution, has been a key driver of growth. "However, its long-term prospects hinge on its ability to transition from a growth-oriented phase to sustained profitability," says Agarwal.



GENERAL INSURANCE'S PERFORMANCE IS CLOSELY LINKED WITH THE ECONOMY FOR SEGMENTS SUCH AS MOTOR, FIRE AND MARINE. IT ALSO DEPENDS LARGELY ON ONE-YEAR PRODUCTS, FACES PRICING PRESSURE, AND HAS TO OFFER A LOT OF PRODUCT OPTIONS

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"Some (new-age players) have attracted significant financial capital on promise of digital disruption and distribution innovation, but sustaining those valuations depends on their ability to demonstrate underwriting discipline and scalability. Investors today are more focused on profitability and regulatory alignment rather than just top-line growth, and as the sector evolves, we'll likely see more rational valuations, driven by fundamentals over hype," says Dedia.

THE ROAD AHEAD

India's insurance industry has a long runway for growth due to under-penetration. LIC continues to dominate life insurance with its traditional product suite. The profitability of companies, especially general insurers, is challenged by pricing pressure and rising claims. The new-age players in general and health segments have raised hopes for the sector's expansion but will need capital support to scale up operations. The coming decade will bring more innovation, disruption, and, hopefully, profitability. **BT**